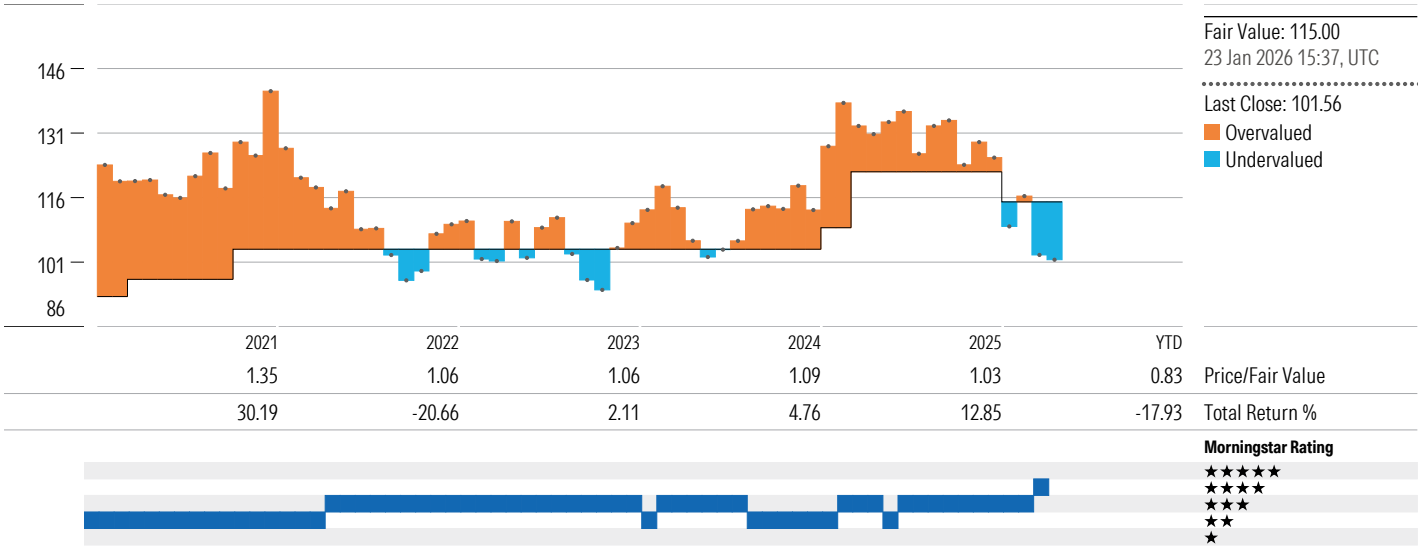
Abbott Laboratories ABT ★★★★ 16 Apr 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
101.56 USD 15 Apr 2026	115.00 USD 23 Jan 2026 21:37, UTC	0.83	165.90 USD Bil 16 Apr 2026	Narrow	Large Value	Medium	Standard	16 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.35	1.06	1.06	1.09	1.03	0.83
Total Return %	30.19	-20.66	2.11	4.76	12.85	-17.93

Total Return % as of 15 Apr 2026. Last Close as of 15 Apr 2026. Fair Value as of 23 Jan 2026 15:37, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Abbott Earnings: Weakness in US Markets Softened by Strength in Foreign Markets

Analyst Note Debbie S. Wang, Senior Equity Analyst, 16 Apr 2026

Abbott's first-quarter results featured 4% organic revenue growth and adjusted net earnings growth of 5% year over year. Medical devices were up 9%, more than offsetting the nutrition revenue decline of 8%.

Why it matters: Abbott saw soft results in the US market across key businesses, including nutrition and diagnostics. The international markets performed better, aided by strong foreign-exchange tailwinds.

- We speculate that the nutrition segment will remain under pressure through the first half of 2026, as there's a gap between when the impact of the loss of a large WIC contract hits and when the new WIC contracts take effect.
- US rapid/molecular diagnostic revenue fell 14%, underscoring how long it's taking to get out from under the pandemic-led gains in 2020-22. We estimate further declines in 2026-27 before this category stabilizes at 2019 levels.

The bottom line: While we've made slight adjustments to our underlying assumptions for 2026, this wasn't enough to materially move our $115 fair value estimate for narrow-moat Abbott. The shares appear close to fairly valued.

- Following the close of the Exact Sciences acquisition (now classified as cancer diagnostics by

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Sector Healthcare

Industry Medical Devices

Business Description

Abbott manufactures and markets cardiovascular and diabetes devices, adult and pediatric nutritional products, diagnostic equipment and testing kits, and branded generic drugs. Products include pacemakers, implantable cardioverter defibrillators, neuromodulation devices, coronary stents, catheters, infant formula, nutritional liquids for adults, continuous glucose monitors, and immunoassays and point-of-care diagnostic equipment. Abbott derives roughly 60% of sales outside the United States.

Abbott), we project revenue from this business at $436 million in 2026.

- The addition of Exact Sciences has also bumped up selling, general, and administrative expense in the near term. We expect a slightly elevated SG&A margin in 2026, with gradual improvement in 2027.

Coming up: Abbott had fallen behind in the race for pulsed field ablation and is now in the early launch of Volt in the US and TactiFlex Duo in Europe. We anticipate that practitioner interest in trying out Abbott's PFA choices is likely to put near-term pressure on Boston Scientific this year.

- Though we're confident that Abbott's PFA technology will receive trial, it's not clear to us that strong conversion will follow to cement any market share gains.

Business Strategy & Outlook Debbie S. Wang, Senior Equity Analyst, 23 Jan 2026

While the pandemic caused some of Abbott's segments to balloon (diagnostics) and others to fall short (medical devices), conditions have largely normalized and Abbott's prospects will again rely heavily on its ability to consistently introduce innovative products across divisions. On margins, the company has made much progress over the past 10 years but still lags key rivals on profitability measures despite competing in businesses that are characterized by attractive margins.

Abbott's efforts to improve efficiency, including streamlining its distribution channels and building facilities in lower-cost locations like India, have demonstrated some success. However, there is still room for improvement as we look at the company's consolidated profitability. We like that management has turned its attention to new sources of growth. In our view, Abbott's FreeStyle Libre blood glucose monitor is one of the most compelling innovations the firm has ever launched. The acquisition of St. Jude's heart-focused portfolio significantly broadened Abbott's cardiac device product offering, raising the firm's ability to compete as hospital clients seek to winnow suppliers.

As with all medical technology companies, Abbott's big challenge, over the longer term, is to fuel innovation. Revving up innovation in the nutrition segment is a key challenge through the midterm to generate volume growth and justify price increases. Additionally, the bar for securing reimbursement for new medical technology has risen as payers have become more stringent about clinical data before committing to payment. While Abbott has seen recent success with FreeStyle Libre, we're less impressed with its record on new-product launches. Compared with key medical-device competitors, including Boston Scientific, Medtronic, and Edwards Lifesciences, Abbott hasn't cultivated similar revolutionary advancements. The firm's forte seems to focus on incremental improvements to the existing technology platforms it has acquired over the past 15 years. Thanks to healthcare reform, this approach makes it more challenging to yield robust returns in the future.

Bulls Say Debbie S. Wang, Senior Equity Analyst, 23 Jan 2026

- Abbott has been investing in structural heart products, including the left atrial appendage closure and transcatheter mitral valve markets.

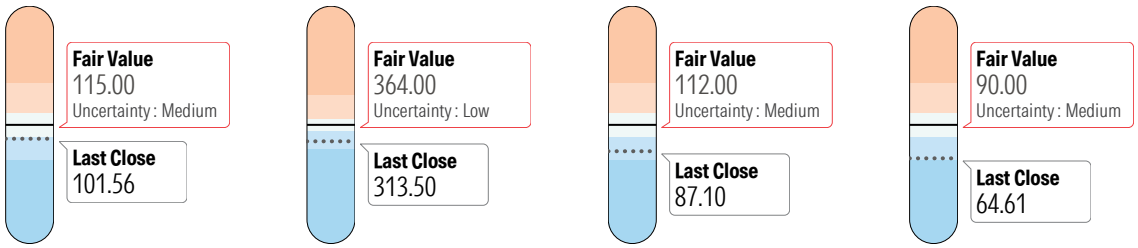
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Competitors



	Abbott Laboratories ABT	Roche Holding ...ary Shares new ROP	Medtronic PLC MDT	Boston Scientific Corp BSX
Economic Moat	Narrow	Wide	Narrow	Narrow
Currency	USD	CHF	USD	USD
Fair Value	115.00 23 Jan 2026 15:37, UTC	364.00 23 Oct 2025 19:28, UTC	112.00 22 Nov 2022 18:45, UTC	90.00 4 Feb 2026 18:46, UTC
1-Star Price	155.25	455.00	151.20	121.50
5-Star Price	80.50	291.20	78.40	63.00
Assessment	Undervalued 16 Apr 2026	Undervalued 16 Apr 2026	Undervalued 16 Apr 2026	Undervalued 16 Apr 2026
Morningstar Rating	★★★★16 Apr 2026 21:21, UTC	★★★★16 Apr 2026 17:11, UTC	★★★★16 Apr 2026 21:23, UTC	★★★★16 Apr 2026 21:25, UTC
Analyst	Debbie S. Wang, Senior Equity Analyst	Karen Andersen, Director	Debbie S. Wang, Senior Equity Analyst	Debbie S. Wang, Senior Equity Analyst
Capital Allocation	Standard	Exemplary	Standard	Standard
Price/Fair Value	0.83	0.86	0.76	0.70
Price/Sales	3.98	4.02	3.20	4.75
Price/Book	3.37	7.46	2.31	3.91
Price/Earning	27.46	16.29	22.02	21.11
Dividend Yield	2.40%	3.09%	3.26%	0.00%
Market Cap	165.90 Bil	249.43 Bil	109.96 Bil	94.25 Bil
52-Week Range	93.92—139.06	291.00—327.30	79.93—106.33	60.59—109.50
Investment Style	Large Value	Large Blend	Large Value	Large Blend

- Despite being late to pulsed field ablation, Abbott has benefited from robust electrophysiolgy growth thanks to its established ablation devices and aims to catch up with new PFA catheters.
- Abbott's sale of its established pharma business in developed markets to Mylan and its acquisition of CFR and Veropharm have put the branded generics business in a strong position to benefit from growing demand in emerging markets.

Bears Say Debbie S. Wang, Senior Equity Analyst, 23 Jan 2026

- Edwards Lifesciences' Pascal device and its emerging portfolio of transcatheter mitral technologies are likely to put pressure on Abbott's MitraClip franchise over the longer term.
- Abbott remains a peripheral presence in the crowded field of molecular diagnostics, where it must go head-to-head against market leader Roche, along with energetic competitors like Qiagen and Hologic.
- Falling global birthrates in the wake of the pandemic would offer challenging conditions to Abbott's nutritionals segment. This could saddle nutritionals with an unfavorable secular trend.

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Economic Moat Debbie S. Wang, Senior Equity Analyst, 6 Jan 2026

Abbott garners a Morningstar Economic Moat Rating of narrow. We think the addition of St. Jude's portfolio of cardiac devices pushed Abbott toward the wider side of a narrow moat, but we're not convinced that it has tipped into the wide moat category. The firm has not been able to nurture the kind of ongoing (and occasionally revolutionary) innovation that is necessary to secure reimbursement gains over the longer term, in our view.

In most cases, Abbott is one of three or four competitors that dominate the market, including nutrition, cardiac rhythm management devices, surgical heart valves, continuous glucose monitors, coronary stents, venous closure, and immunoassays. In these markets, Abbott enjoys the benefits of intangible assets that give rise to economic profits.

We think the nutritional business is one of the moatiest parts of Abbott, where it wields a leadership position in this highly consolidated market that is estimated to be $35 billion worldwide. The firm has developed intangible assets in the form of brand trust with new parents as well as pediatricians. We think Abbott has also developed other intangible assets through its various proprietary formulations of specialty infant formulas for babies with allergies and metabolic challenges. Concerns about potential formula contamination and the ensuing shutdown of a primary US manufacturing plant hit the pediatric nutrition business in 2022. However, this episode also underscored the strength of Abbott's moat in this market, as the firm has already regained significant levels of the market share lost. Further, while Abbott may have missed securing some WIC contract renewals (the Special Supplemental Nutrition Program for Women, Infants, and Children) during 2022 when manufacturing was halted, we've seen little evidence that more recent contract renewals have been hurt by that episode.

Aside from strength in developed markets, the firm faces brighter long-term growth prospects in emerging markets, where the growth of middle-class families spurs demand for pediatric and adult nutrition products. Thanks to the strong Similac and Ensure brands, Abbott is in an advantageous position to introduce new formulations and line extensions and penetrate new markets.

These building blocks and experience with nutritionals are also highly relevant when applied to Abbott's established pharmaceutical product segment, which is sold outside the US. This business, frequently called branded generics, operates more like a consumer business than traditional branded drugs. For example, Abbott's branded generics will mainly be sold in less developed markets that often lack a well-developed infrastructure for distribution. Instead, Abbott must sell its products directly to pharmacy chains and physicians. As a result, brand recognition and reputation are key factors that Abbott can leverage. Selling to a fragmented market also translates into less pricing pressure for Abbott. This could change over the longer term once more emerging markets turn to the tender system that characterizes developed nations. However, we think that change remains further off. Further,

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Abbott has most recently begun to move into producing biosimilars for this business. Considering the manufacturing complexities involved with these large molecule therapies, we anticipate limited competition, which should stave off price competition.

We think Abbott benefits considerably from legacy St. Jude's impressive expertise in cardiac rhythm management, structural heart, and heart failure. Intangible assets in this segment include specialized engineering knowledge, expertise in navigating the regulatory pathway, and importantly, strong sales representative relationships with practitioners.

Moreover, some of the high-margin devices also benefit from high switching costs once implanted inside the body, including pacemakers, implantable cardioverter defibrillators, spinal cord stimulators, and cardiac resynchronization devices. For these types of products, the initial implantation of an Abbott device means subsequent replacement parts will most likely also come from Abbott.

The diagnostics segment deviates slightly from the other divisions, in terms of primary moat source. Instead of intangibles, we think Abbott's diagnostics business displays signs of switching costs that are often seen in the life sciences market. Once the durable testing platform is installed and technicians are trained on it, Abbott generates an ongoing stream of revenue from higher-margin consumables, supplies, and reagents.

The impending acquisition of Exact Sciences will provide Abbott with entry into the growing stool-based colorectal screening market. Additionally, Exact also comes with a multi-cancer liquid biopsy platform, though we remain skeptical of its commercial potential due to issues with accuracy and false positives that could hinder inclusion in screening guidelines.

Outside of intangible assets and switching costs, Abbott also relies on intellectual property to ward off competitors in the device and diagnostic segments and protect some level of differentiation in its products. However, we do not consider patents to be bulletproof in the medical technology arena, particularly because competitors can engineer a different way to a similar solution. Nonetheless, developing products that tiptoe around competitive intellectual property seem to foster product differentiation that can add to a firm's intangible assets.

Though we see signs of moatiness throughout Abbott's businesses, we're less confident in Abbott's ability to nurture and renew innovation over the long haul, which is the key factor that leads to pricing power in the long term. For example, we think Abbott has done a credible job of commercializing what was already in St. Jude's pipeline, just as it had done with earlier acquisitions of Guidant's stent assets, Advanced Medical Optics, and Perclose. However, we have rarely seen Abbott generate greater leaps of innovation, building on these acquired technology platforms. Abbott is more likely to follow Medtronic and Boston Scientific to market than to pioneer the path, from our perspective.

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Fair Value and Profit Drivers Debbie S. Wang, Senior Equity Analyst, 23 Jan 2026

We're modestly lowering our fair value estimate to $115 per share, from $122, after adjusting for the acquisition of Exact Sciences, dialing down our projections for nutrition through 2026, and resetting our long-term estimates for the Libre franchise in the low teens now that the business has reached $8 billion in sales. We think that nutrition will remain under pressure with the recent loss of a key WIC contract and management's reliance on more promotion to stimulate volume growth. We also think that procedure volume will soften in 2026-27, as subsidies to the exchanges and lower Medicaid spending take hold. We expect the established pharmaceuticals business stabilizes with mid-single-digit growth. Additionally, we assume that Abbott's recent new-product launches, such as the Amplatzer Amulet for left atrial appendage closure, will experience moderate adoption. Over the longer time frame, we to anticipate top-line strength from the ongoing adoption of the Alinity systems with comprehensive test panels, innovations in electrophysiology and heart failure, and the addition of Exact's cancer screening portfolio through 2029. Neuromodulation has been a recent area of weakness now that competitors have introduced new products, and we expect this softness to remain in the near term.

We anticipate incremental margin improvement, with operating margin to peak near 22% in 2029, primarily on the strength of new products and mix. On a consolidated basis, Abbott has significantly narrowed the gap between its operating margin and those of its key competitors in various business segments. We see this as evidence that Abbott's investments in streamlined distribution channels and new facilities in lower-cost locations are paying off.

Risk and Uncertainty Debbie S. Wang, Senior Equity Analyst, 6 Jan 2026

While Abbott's nutrition unit seems largely impervious to economic cycles, we think the medical device segment increases Abbott's exposure to the vagaries of cardiac product cycles, clinical trials, and reimbursement issues. Accordingly, our Morningstar Uncertainty Rating for Abbott is Medium.

In our view, the biggest risks Abbott faces include ongoing difficulties with its left ventricular assist devices, the potential commercial success of its Libre franchise, which includes planned expansions to tap into new patient populations such as people without diabetes who wish to monitor their health through a wearable sensor, and the integration of Exact Sciences.

As with any company involved with medical technology, Abbott is vulnerable to the threat of revolutionary innovation from rivals. This is particularly an issue with its medical devices and diagnostic business where disruptive technology often emerges. Despite Abbott's efforts to better insulate itself from recalls like the infant formula recall in China during 2013, the firm ran into a major formula recall in the US thanks to a handful of cronobacter poisoning cases (though none of these instances has demonstrated a link to Abbott's manufacturing facility). The risk of product quality issues or recalls remains ever present and can damage the firm's brands and its relationships with medical

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professionals. With hospital customers and payers tightening purse strings and more competitive tenders in China, Abbott faces greater pricing pressure. Finally, Abbott operates under the scrutiny of the US Food and Drug Administration (as well as regulatory agencies overseas), which can lead to delays in product approvals or production.

Capital Allocation Debbie S. Wang, Senior Equity Analyst, 23 Jan 2026

Our Morningstar Capital Allocation Rating for Abbott remains Standard, reflecting its sound balance sheet management, fair investment, and mixed shareholder distributions.

While the company has made some impressive purchases in the past, there have been some less favorable acquisitions, too. On one hand, we think the purchase of Knoll (which brought in Humira) and St. Jude Medical strengthened Abbott's competitive standing, but we were far less impressed by the acquisition of Advanced Medical Optics and the Guidant stent business, for example. We are reserving judgment on the impending acquisition of Exact Sciences, but are keeping an eye on the integration. Perhaps most worrisome, from our perspective, is Abbott's ability to continue to nurturing and producing innovation once it is in possession of acquired assets. There's very little in Abbott's cardiovascular portfolio that was generated internally; virtually all of it is the result of mergers and acquisitions.

We find the level of shareholder distributions to be appropriate. Abbott is well known for its long-standing dividend and its record of dividend increases. The firm also relies on a fairly low and consistent level of share repurchases. However, the company spent roughly $1.5 billion on repurchasing shares in 2020 and 2021 just as the share price was also buoyed by demand for pandemic-related diagnostics, making these buybacks somewhat dilutive.

Robert B. Ford, who stepped into the CEO role in 2020, is Abbott's first major management change in two decades. Thus far, we have not seen any significant changes in strategic focus from Ford, who has been with Abbott since 1996 and brings wide-ranging experience across different functions and divisions. Nonetheless, one hallmark of former CEO Miles White's tenure was a raft of M&A activity that suggests a level of comfort with this kind of financial engineering, from our perspective. Though we anticipate Abbott will continue to engage in some level of M&A in order to augment internal innovation, Ford has struck us as more focused on operations than acquisitions, so far.

Analyst Notes Archive

Abbott Earnings: Softness in Nutrition Business Casts Shadow Over 2026 Outlook Debbie S. Wang,Senior Equity Analyst,23 Jan 2026

Abbott reported fourth-quarter organic revenue growth of 3%, with nutrition and rapid diagnostics sales falling 9% and 18%, respectively. This was offset by 12% quarterly growth in the medical device

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division, but shares fell 10% nonetheless. Why it matters: Despite strong medical device results, management slightly lowered its outlook for 2026 and indicated that challenges in nutrition are likely to linger in the new year. Similar to some consumer-packaged goods that have come under volume pressure, Abbott faces similar dynamics in nutrition. Recent increases in price have hurt volume, and the firm plans to engage in more near-term promotion to goose demand. Additionally, management expectations for Libre to grow in the low teens in 2026 (versus high teens in 2024 and 2025) might have also shaken investors accustomed to seeing higher growth from that product. The bottom line: Though the impending acquisition of Exact Sciences alone wasn't material enough to shift our intrinsic value independently, we've lowered our Abbott fair value estimate to $115 per share from $122 in combination with our slightly lower projections for nutrition and Libre. Roughly half the reduction is driven by the purchase of Exact for the lofty price of $21 billion. The other half reflects single-digit declines in US nutrition revenue in 2026, along with decelerating growth in the Libre franchise through 2029. We're leaving Abbott's narrow moat unchanged, as we've seen little to suggest the firm's intangible assets and switching costs have weakened. Shares remain fairly valued, in our view. Long view: Now that the law of large numbers has caught up with Libre, which racked up roughly $8 billion in revenue in 2025, we've lowered our long-term projection for average annual growth to 13%, from 19% previously. We still view the continuous glucose monitor market as young with relatively low type 2 penetration that should increase as reimbursement expands over time.

Exact Sciences: Acquisition by Abbott Laboratories Confirmed Jay Lee,Senior Equity Analyst,20 Nov 2025

On Nov. 20, Exact announced a definitive agreement to be acquired by Abbott Laboratories with an expected close in the second quarter of 2026. Exact shareholders will receive $105 per common share, and the stock closed 17% higher than the previous day's close while Abbott closed down 2%.Why it matters: This deal values the equity of Exact Sciences at about $21 billion, which we view as an excellent price for Exact shareholders. There are still significant outstanding unknowns for blood-based cancer screening tests, including how the US Preventive Services Taskforce will assess blood-based colon cancer tests and whether Congress will ultimately approve reimbursement for multicancer screening tests. Our fair value for Exact before the announcement was $54 per share, and our 1-star threshold of $94.50 (representing an aggressive bull scenario) is still below Abbott's acquisition price. We think Exact shareholders are getting the better end of this bargain.The bottom line: The deal has been unanimously approved by the boards of both companies, and we think it is likely to be approved by Exact shareholders and regulators. We lift our fair value for no-moat Exact to $105 per share from $54.Between the lines: Exact's biggest competitor in cancer screening is no-moat Guardant Health, which is enjoying a spectacular launch of Guardant Shield, the first-to-market blood-based test. Over the past two days, Guardant shares have rallied, closing 5% above the Nov. 18 close. Molecular diagnostics is an emerging technology with tremendous upside potential that can change the future of

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Abbott Laboratories ABT ★★★★ 16 Apr 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
101.56 USD 15 Apr 2026	115.00 USD 23 Jan 2026 21:37, UTC	0.83	165.90 USD Bil 16 Apr 2026	Narrow	Large Value	Medium	Standard	16 Apr 2026 05:00, UTC

cancer screening. Other large diagnostics players may also be looking at Guardant as a potential acquisition target.

Abbott Labs: Acquisition of Exact Sciences to Beef Up Diagnostics Debbie S. Wang,Senior Equity Analyst,20 Nov 2025

Abbott announced its planned acquisition of Exact Sciences, which makes several oncology-focused tests, for roughly $21 billion, or $105 per share. Why it matters: While the addition of Exact should materially expand Abbott's diagnostic portfolio into new, fast-growing areas, we're wary of both the price tag and operational implications. Our fair value estimate for Exact before the announcement was $54 per share, and since our 1-star threshold of $94.50 (representing an aggressive bull scenario) is still below the sale price, we think Exact shareholders are getting the better end of this bargain. Exact also relies heavily on marketing and detailing medical professionals and provider groups in the gastroenterology and oncology areas. This is a departure from Abbott's main diagnostic channels through labs (core and molecular) and even retail (rapid diagnostics). The bottom line: The incorporation of no-moat Exact into our discounted cash flow model did not materially shift our $122 fair value estimate for narrow-moat Abbott. However, we think this pricey purchase slightly weakens Abbott's Standard Capital Allocation Rating. We expect Exact's higher gross margin will be largely offset by its higher level of sales and marketing expenses. Additionally, we anticipate Abbott will need to retain the Exact salesforce, as we're doubtful Abbott has much of a presence in the gastroenterology specialty now. Though Abbott management is bullish on the liquid biopsy technology, there are still open questions about whether these blood-based tests will be incorporated in screening guidelines and the extent of reimbursement.

Exact Sciences: Media Report on Potential Acquisition by Abbott Sends Shares Soaring Jay Lee,Senior Equity Analyst,19 Nov 2025

On Nov. 19, Bloomberg reported that Abbott is nearing a possible acquisition of Exact Sciences. Exact shares closed up 24% on the day, while Abbott shares fell 3%.Why it matters: Exact shares have been on a roller-coaster ride in 2025 and are currently more than double their lows of this year. Joining a much larger diagnostics company like narrow-moat Abbott may afford Exact a more stable financial footing to focus on product development and the commercial expansion of its tests. Exact's flagship tests include Cologuard (stool-based colorectal cancer screening) and Oncotype DX (breast cancer risk assessment), which hold leading market shares in the US. The company's platform also boasts blood-based tests for multi- and single-cancer screening and molecular residual disease tests.The bottom line: We maintain our $54 fair value estimate for no-moat Exact Sciences but would adjust it if we get official confirmation from the companies about a deal. At the time of this writing, the shares were trading at $86, implying a market capitalization of $16 billion or about 5 times our 2025 revenue estimate of $3.2 billion. Molecular diagnostics is an emerging technology with tremendous upside potential that can change the future of

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cancer screening, but its prospects depend heavily on government and third-party payer policies, which explains our Very High Uncertainty Rating. In our view, the two biggest unknown factors are how the US Preventive Services Task Force will assess blood-based colon cancer tests and whether Congress will ultimately approve reimbursement for multi-cancer screening tests.

Abbott Earnings: Pockets of Strength More Than Offset Areas of Softness Debbie S. Wang,Senior Equity Analyst,15 Oct 2025

Abbott's third-quarter results included reported revenue growth of 7%, with US nutrition sales falling 7% and global device revenue up 15% year over year. Why it matters: Abbott has revitalized a number of its medical device product lines, and the resulting double-digit growth in that area has been a boon, as the firm works through domestic nutrition weakness and ongoing secular declines in covid tests. Abbott's leadless pacemaker Aveir, European launch of its Volt pulsed field ablation catheter, and adoption of Tri-Clip put the firm in a strong position to engage in fast-growing cardiac markets. We think Abbott has been the beneficiary of Boston Scientific's exit from the transcatheter aortic valve replacement market in Europe but doubt it can come close to displacing the market leaders Edwards Lifesciences and Medtronic. We view the current US pediatric nutrition decline as near-term turbulence. Abbott's loss of a large WIC state contract has hit sales growth, while another two newly won WIC contracts have yet to begin. The bottom line: With narrow-moat Abbott on track to meet our full-year expectations, we're leaving our $122 fair value estimate unchanged. Shares are fairly valued, from our perspective. We continue to estimate 6% reported revenue growth for 2025, and adjusted EPS growth of 10%, which remain bounded by management's outlook. Outside of cardiac devices, Abbott's continuous glucose monitor Libre 3 remains a key growth driver and shows no signs of slowing down. We remain confident that CGMs will become standard of care for all type 2 diabetes patients, which makes a long runway for growth. Coming up: There are early suggestions that could make Volt more competitive in the PFA market where Boston Scientific and Medtronic have already established beachheads. The flexibility for light sedation when using Volt, compared with general or deep sedation used with competitive PFA devices could open the door to more access for Abbott.

Abbott Earnings: Softness in Diagnostics Causes Management to Lower Outlook for 2025 Debbie S. Wang,Senior Equity Analyst,17 Jul 2025

Abbott posted second-quarter results that featured 7% top-line constant-currency growth and 120 basis points of operating margin improvement, but lowered guidance due to lingering covid and China weakness. Why it matters: Management's new outlook for 6%-7% consolidated revenue growth is a substantial step down from the 7.5%-8.5% growth rate earlier in the year, and is disappointing to investors, given the 8% decline in share price. However, the underlying demand for medical devices remains robust and suggests the strength in medical utilization that characterized 2024 remains steady in 2025 Nonetheless, we're wary of how recently passed legislation to cut Medicaid and subsidies to

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insureds on the exchanges could damp this demand over the longer term. The bottom line: As we had already tempered our assumptions for 2025 and our projections remain bounded by the new guidance, we're reiterating our $122 fair value estimate for narrow-moat Abbott. The pullback in shares puts the stock squarely at our intrinsic value. We were pleased to see the firm keep tight control over expenses, and we anticipate the margin improvement in the second quarter should help in offsetting pressure from tariffs. Coming up: Abbott has hit its stride with new product cycles in its devices division, which we expect can support above-market growth through the midterm. The addition of TriClip for tricuspid repair and recent US approval of Tendyne for transcatheter replacement of the mitral valve put the structural heart business in a strong position. The impending dual-analyte sensor to track blood glucose and ketones could also give the diabetes portfolio a boost.

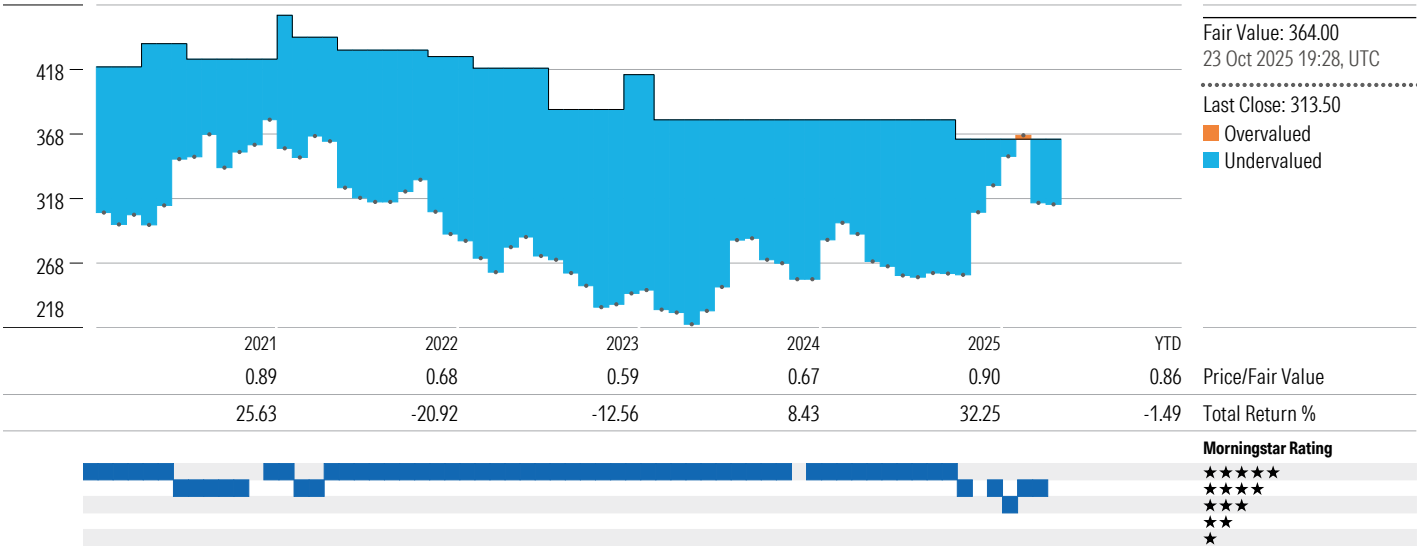
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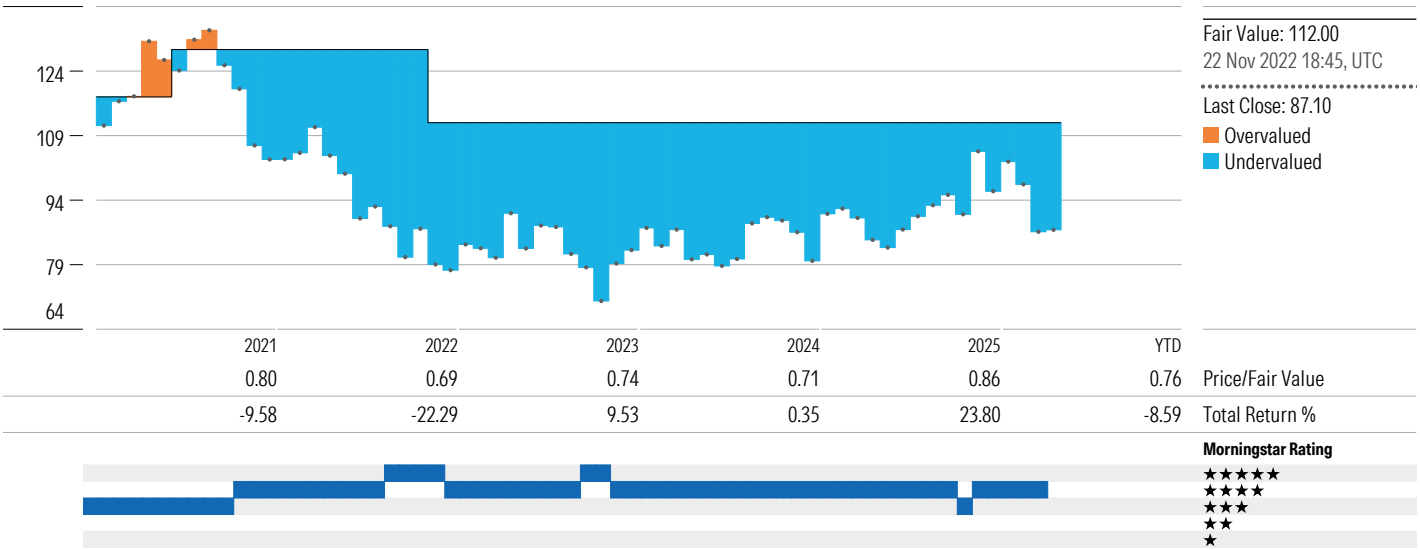
Competitors Price vs. Fair Value

Roche Holding AG Ordinary Shares new ROP



Total Return % as of 16 Apr 2026. Last Close as of 16 Apr 2026. Fair Value as of 23 Oct 2025 19:28, UTC.

Medtronic PLC MDT



Total Return % as of 15 Apr 2026. Last Close as of 15 Apr 2026. Fair Value as of 22 Nov 2022 18:45, UTC.

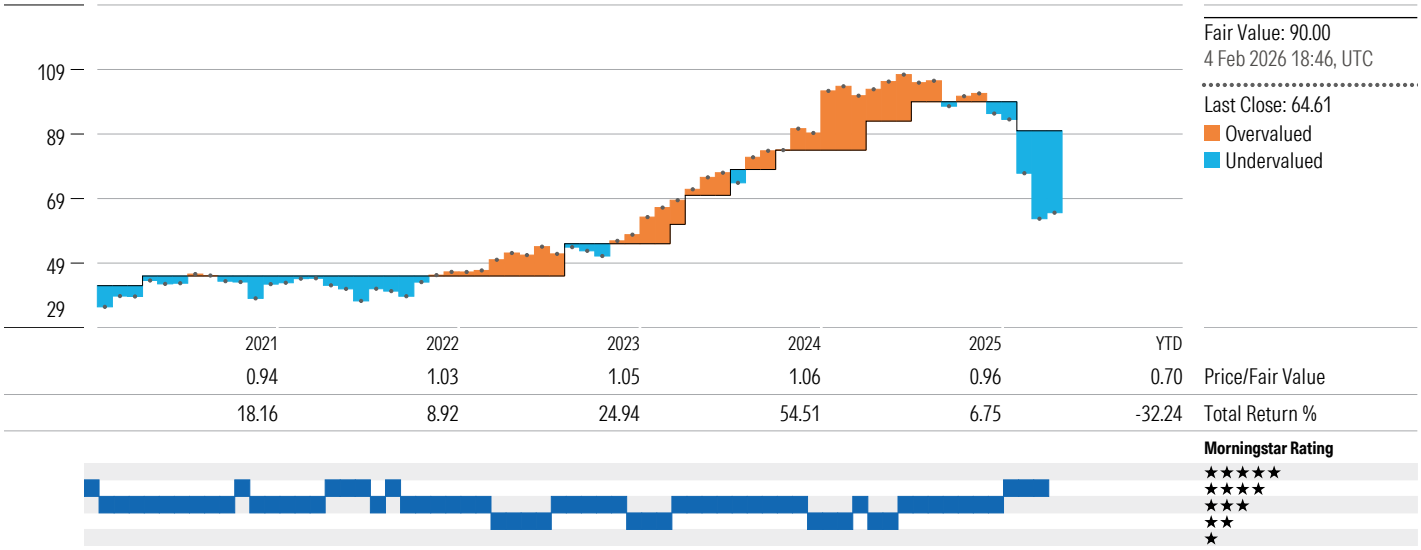
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Competitors Price vs. Fair Value

Boston Scientific Corp BSX



	2021	2022	2023	2024	2025	YTD	
	0.94	1.03	1.05	1.06	0.96	0.70	Price/Fair Value
	18.16	8.92	24.94	54.51	6.75	-32.24	Total Return %

Total Return % as of 15 Apr 2026. Last Close as of 15 Apr 2026. Fair Value as of 4 Feb 2026 18:46, UTC.

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Morningstar Valuation Model Summary

Financials as of 09 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	40,109	41,950	44,328	47,849	51,437	55,125	58,939	62,988
Operating Income (USD Mil)	8,444	8,703	9,735	10,383	10,647	11,907	13,261	14,739
EBITDA (USD Mil)	9,680	10,070	11,767	11,818	12,222	13,880	15,447	16,956
Adjusted EBITDA (USD Mil)	9,680	10,070	11,767	11,818	12,222	13,880	15,447	16,956
Net Income (USD Mil)	5,244	13,026	6,524	6,979	7,613	9,195	10,353	11,609
Adjusted Net Income (USD Mil)	9,331	8,200	9,008	9,979	10,813	11,695	12,353	13,309
Free Cash Flow To The Firm (USD Mil)	6,331	6,083	8,965	-12,180	7,755	7,796	8,697	9,774
Weighted Average Diluted Shares Outstanding (Mil)	1,749	1,748	1,748	1,748	1,748	1,748	1,748	1,748
Earnings Per Share (Diluted) (USD)	3.00	7.45	3.73	3.99	4.36	5.26	5.92	6.64
Adjusted Earnings Per Share (Diluted) (USD)	5.34	4.69	5.15	5.71	6.19	6.69	7.07	7.61
Dividends Per Share (USD)	2.08	2.24	2.40	2.52	2.65	2.78	2.92	3.06

Margins & Returns as of 09 Mar 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	17.3	21.1	20.8	22.0	21.7	20.7	21.6	22.5	23.4	20.1
EBITDA Margin %	—	24.1	24.0	26.6	24.7	23.8	25.2	26.2	26.9	—
Adjusted EBITDA Margin %	—	24.1	24.0	26.6	24.7	23.8	25.2	26.2	26.9	25.4
Net Margin %	19.6	13.1	31.1	14.7	14.6	14.8	16.7	17.6	18.4	16.4
Adjusted Net Margin %	21.0	23.3	19.6	20.3	20.8	21.0	21.2	21.0	21.1	21.0
Free Cash Flow To The Firm Margin %	16.8	15.8	14.5	20.2	-25.5	15.1	14.1	14.8	15.5	6.8

Growth & Ratios as of 09 Mar 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	0.5	-8.1	4.6	5.7	7.9	7.5	7.2	6.9	6.9	7.3
Operating Income Growth %	-2.1	-18.6	3.1	11.9	6.7	2.6	11.8	11.4	11.2	8.6
EBITDA Growth %	1.4	-16.8	4.0	16.9	0.4	3.4	13.6	11.3	9.8	7.7
Adjusted EBITDA Growth %	0.4	-16.8	4.0	16.9	0.4	3.4	13.6	11.3	9.8	7.6
Earnings Per Share Growth %	-1.7	-23.7	148.5	-49.9	7.0	9.1	20.8	12.6	12.1	12.2
Adjusted Earnings Per Share Growth %	-1.7	5.2	-12.1	9.9	10.8	8.4	8.2	5.6	7.7	12.2

Valuation as of 09 Mar 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	20.6	24.1	24.3	16.7	15.4	14.3	13.5	12.5
Price/Sales	4.8	4.7	4.9	3.5	3.2	3.0	2.8	2.6
Price/Book	5.0	4.1	4.2	3.1	2.9	2.7	2.5	2.3
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	20.6	20.2	18.9	14.5	14.0	12.3	11.1	10.1
EV/EBIT	23.6	23.3	22.9	16.5	16.0	14.3	12.9	11.6
Dividend Yield %	1.9	2.0	1.9	2.6	2.8	2.9	3.1	3.2
Dividend Payout %	39.0	47.8	46.6	44.1	42.8	41.5	41.3	40.2
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 09 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	7.2	16.0	7.6	7.2	7.6	8.8	9.4	10.0
ROE %	13.5	27.2	12.4	12.8	13.2	14.8	15.4	15.8
ROIC %	23.5	21.5	21.4	19.3	17.6	19.6	21.8	24.2

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	7.6	7.1	6.0	8.6	7.9	7.3	7.0	6.4
Assets/Equity	1.9	1.7	1.6	1.8	1.7	1.7	1.6	1.6
Net Debt/EBITDA	0.9	0.7	0.4	1.4	1.2	0.8	0.4	0.1
Total Debt/EBITDA	1.6	1.5	1.2	1.7	1.6	1.3	1.2	1.1
EBITDA/ Net Interest Expense	38.4	46.8	63.6	24.9	31.2	35.7	40.5	44.5

Forecast Revisions as of 10 Mar 2026	2026		2027		2028	
Prior data as of 23 Jan 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	115.00	114.63	—	—	—	—
Revenue (USD Mil)	47,849	47,328	51,437	50,807	55,125	54,369
Operating Income (USD Mil)	10,383	10,176	10,647	10,669	11,907	11,309
EBITDA (USD Mil)	11,818	11,592	12,222	12,250	13,880	13,189
Net Income (USD Mil)	9,979	10,093	10,813	10,638	11,695	11,193
Earnings Per Share (Diluted) (USD)	3.99	3.94	4.36	4.37	5.26	4.97
Adjusted Earnings Per Share (Diluted) (USD)	5.71	5.77	6.19	6.09	6.69	6.40
Dividends Per Share (USD)	2.52	2.41	2.65	2.53	2.78	2.65

Key Valuation Drivers as of 09 Mar 2026

Cost of Equity %	7.5
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	7.4
Long-Run Tax Rate %	0.0
Stage II EBI Growth Rate %	7.0
Stage II Investment Rate %	17.5
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 09 Mar 2026

	USD Mil
Present Value Stage I	15,069
Present Value Stage II	69,706
Present Value Stage III	120,609
Total Firm Value	**205,383**
Cash and Equivalents	8,522
Debt	12,929
Other Adjustments	0
Equity Value	**200,976**
Projected Diluted Shares	1,748
Fair Value per Share (USD)	**115.00**

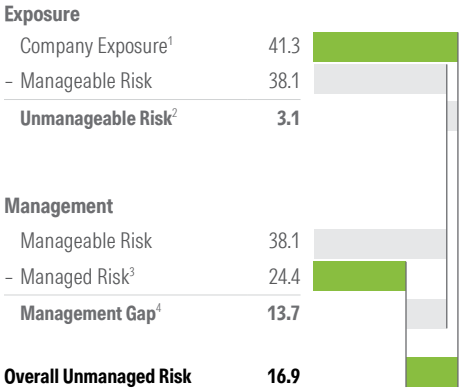
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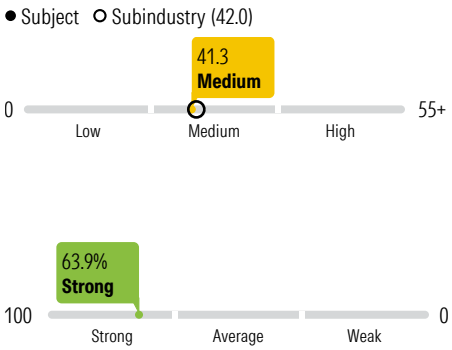
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Abbott Laboratories ABT ★★★★ 16 Apr 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
101.56 USD 15 Apr 2026	115.00 USD 23 Jan 2026 21:37, UTC	0.83	165.90 USD Bil 16 Apr 2026	Narrow	Large Value	Medium	Standard	16 Apr 2026 05:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 16, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Medical Devices. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 63.9% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 16 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Abbott Laboratories	41.3 | Medium	0	55+	63.9 | Strong	100	0	16.9 | Low	0	40+
Boston Scientific Corp	42.7 | Medium	0	55+	65.4 | Strong	100	0	17.1 | Low	0	40+
Medtronic PLC	40.3 | Medium	0	55+	65.9 | Strong	100	0	15.7 | Low	0	40+
Roche Holding AG	46.0 | Medium	0	55+	58.1 | Strong	100	0	21.2 | Medium	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Abbott Laboratories ABT 16 Apr 2026 21:21, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★

Roche Holding AG Ordinary Shares new ROP 16 Apr 2026 17:11, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Medtronic PLC MDT 16 Apr 2026 21:23, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Boston Scientific Corp BSX 16 Apr 2026 21:25, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

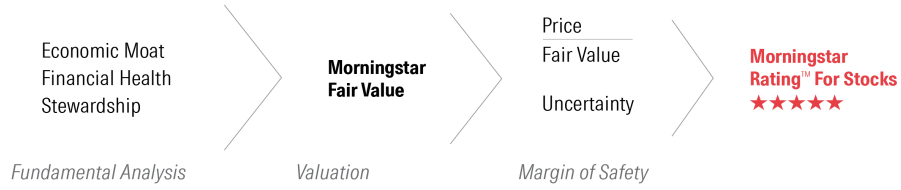
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

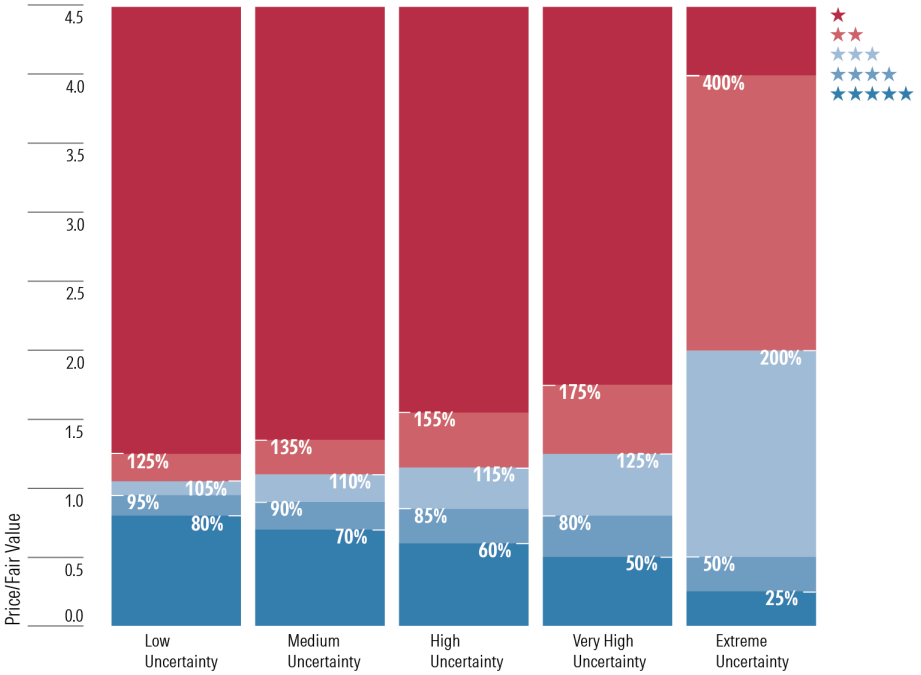
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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